ACROSS THE SPECTRUM

Compliances span various heads. Labour alone accounts for 30% of the regulatory laws, translating to nearly half the total compliances and filings

■ Central ■ State	ACTS 1,536	COMPLIANCES 69,233	ANNUAL FILINGS 6,618
Labour	40 / 423	937 / 31,605	135 / 2,913
Finance & Taxation	54 / 62	945 / 2,339	254 / 736
EHS	48 / 59	2,344 / 578	150 / 81
Secretarial	68	3,526	493
Commercial	62 / 127	2,452 / 4,476	121 / 351
Industry-specific	384 / 100	15,160 / 2,806	1,114 / 148
General	22 / 87	173 / 1,892	15 / 107

Source: TeamLease RegTech

Note: *EHS are Environmental, Health & Safety norms; Secretarial includes corporate governance, remuneration of senior management etc.; Commercial: packaging, labelling, legal aspects etc.; General: norms not falling under other heads, mainly pertaining to local authorities*

AMONG THE REFORMS SUGGESTED FOR LAND ARE BETTER LAND ADMINISTRATION AND RECORD-KEEPING, WHILE THOSE FOR LABOUR STRESS THE NEED FOR FEWER APPROVALS AND BETTER HIRING AND FIRING PRACTICES

"Let us hear what companies have to say on fair regulation and what the government needs, rather than have labour experts make decisions"

– ARUN MAIRA
Author, former Chairman, Boston Consulting Group



transfer, must be extended to compliance as well. "We must create a national employment employer compliance grid and have a time-bound programme for making India a fertile habitat for job creation," Sabharwal says. As for the imprisonment clauses, the ORF-TeamLease RegTech report makes 10 major recommendations. These include reforming the way policies are designed, using criminal penalties in business laws with extreme restraint, constituting a regulatory impact assessment committee within the Law Commission of India, involving all independent economic regulators in compliance reforms, ending the criminalisation of all compliance procedures, creating alternative mechanisms and frameworks and defining standards for legal drafting, introducing sunset clauses.

"We want lesser but better regulations," says Arun Maira, author and former chairman of Boston Consulting Group in India. He suggests carrying out a regulatory impact analysis to identify which compliances to keep and which to do away with. "Let us hear what companies have to say on what is fair regulation and what the government needs. That will be very different from having certain labour experts sitting and deciding on what regulations need to be there," he says. According to him, regulation has to be an evolutionary process. Annappa suggests the setting up of a centralised monitoring and implementation agency to keep an eagle eye on approvals and permits and outsourcing the task to private agencies with a clear measurable mandate to bring efficiency in the system of project implementation.

There is a growing realisation that India must significantly downsize its regulations and compliances—make them fewer and better—to remove sloth in enterprises across the board. The Centre has made the first move, but the process needs to be faster and more consultative. States, too, must join the bandwagon if ease of doing business has to become more than just a fancy cliche. ■

–with **Dhaval S. Kulkarni, Jumana Shah, Ajay Sukumaran, Arkamoy Datta Majumdar and Avaneesh Mishra**